

The 5 Pillars of a Properly Designed IUL

Every IUL policy is not built the same way. These are the five things a properly designed policy must have to actually work for you — and the fastest way to tell if yours is missing one of them.

1. **Minimum death benefit, maximum funding** — A policy built to maximize the agent's commission carries a high death benefit and minimal cash value. A policy built the right way does the opposite — which is the entire difference between a policy that works for you and one that mostly worked for whoever sold it.
2. **Realistic, conservative illustration assumptions** — If the numbers you were shown depend on the best years never ending, they were never numbers — they were a sales pitch. A properly designed illustration shows a range, not a fantasy.
3. **Staying clear of the MEC line** — Fund a policy too aggressively and the IRS can reclassify it as a Modified Endowment Contract — the tax-free loan treatment disappears the moment that happens. Getting the funding pace right is a design decision, not a guess.
4. **Low, transparent internal costs** — Your cap rate, participation rate, and cost of insurance should be numbers you actually know, not numbers buried in a policy illustration you were handed once and never looked at again.
5. **Ongoing reviews, not a sell-and-disappear product** — A policy that's working the way it should gets checked on. If nobody has reviewed yours since the day you signed, that alone is worth a second look.

If two or more of these don't sound like your policy, that's not necessarily a reason to walk away from the strategy — it's usually a reason to have it audited. Most underperforming policies can be restructured, re-funded, or replaced through a 1035 exchange that keeps the tax-deferred status intact, rather than started over from scratch.

Curious what this would look like for you?

Book a free 15-minute call with Tracy Hoth — no pressure, no obligation, just a straight conversation about whether this makes sense for your situation.

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